AS

ECONOMICS

7135/2

Paper 2 – The National Economy in a Global Context

Practice Paper 1 (Moderate)

Practice question paper (in the style of June 2024)

Time allowed:	1 hour 30 minutes
Total marks:	70
Materials:	A calculator is required.

Instructions

- Use black ink or black ball-point pen. Pencil should only be used for drawing.
- Answer **all** questions in **Section A**.
- Answer **either** Context 1 **or** Context 2 in **Section B**.
- Show your working clearly for calculation questions.
- You must answer in the spaces provided.

Information

- The maximum mark for this paper is 70.
- The marks for questions are shown in brackets.
- No deductions will be made for wrong answers in Section A.

Section A

Answer **all** questions in this section. Only one answer per question is allowed.

0 1 Which one of the following is most likely to increase aggregate demand in an economy?

A A fall in consumer confidence

B A rise in interest rates

C An increase in government spending on infrastructure

D An increase in the marginal propensity to save

[1 mark]

0 2 Real GDP measures

A the total money value of output produced in an economy.

B the value of output produced in an economy adjusted for changes in the price level.

C the total income earned by households before tax.

D the average output produced per worker.

[1 mark]

0 3 Which one of the following would most likely cause a rightward shift of the short-run aggregate supply (SRAS) curve?

A A fall in business confidence

B A fall in the price of imported raw materials

C An increase in indirect taxes

D An increase in wage rates

[1 mark]

0 4 If the marginal propensity to consume (MPC) is 0.75, the value of the multiplier is

A 1.33

B 1.75

C 3

D 4

[1 mark]

0 5 Which one of the following best describes demand-pull inflation?

A Inflation caused by rising costs of production

B Inflation caused by a depreciation of the exchange rate

C Inflation caused by aggregate demand exceeding the productive capacity of the economy

D Inflation caused by an increase in indirect taxes

[1 mark]

0 6 An economy is in equilibrium where AD = AS at a level of output below full employment. This indicates

A a positive output gap.

B a negative output gap.

C demand-pull inflation.

D full capacity utilisation.

[1 mark]

0 7 Which one of the following is most likely to be classified as cyclical unemployment?

A A skiing instructor out of work during the summer

B A worker between jobs after voluntarily leaving employment

C A factory worker made redundant during a recession

D A coal miner made redundant due to the closure of the mining industry

[1 mark]

0 8 An economy's Consumer Prices Index (2015 = 100) was 100 in Year 1, 103 in Year 2, 106 in Year 3 and 108 in Year 4. Which one of the following can be concluded from the data?

A The economy experienced deflation between Year 3 and Year 4.

B The rate of inflation was constant from Year 1 to Year 4.

C The rate of inflation slowed between Year 3 and Year 4.

D Average prices fell between Year 2 and Year 3.

[1 mark]

0 9 Which one of the following is most likely to occur as a result of an appreciation of the pound sterling?

A UK exports become cheaper to overseas buyers

B UK imports become more expensive

C An improvement in the UK current account balance

D A reduction in imported cost-push inflation

[1 mark]

1 0 An increase in Bank Rate by the Bank of England is most likely to

A increase the level of consumer spending.

B reduce the cost of borrowing for firms.

C encourage saving and reduce consumption.

D lead to a depreciation of the pound.

[1 mark]

1 1 Which one of the following is an example of a supply-side policy?

A A reduction in income tax to boost consumer spending

B An increase in government spending on training schemes

C A reduction in interest rates to encourage investment

D An increase in welfare benefits to reduce inequality

[1 mark]

1 2 A government has a budget deficit of £50 billion and tax revenues of £800 billion. What is its government spending?

A £750 billion

B £800 billion

C £850 billion

D £900 billion

[1 mark]

1 3 Which one of the following would most likely improve the UK's balance of payments on current account?

A An appreciation of the pound

B A rise in UK inflation relative to trading partners

C A rise in labour productivity in the UK

D A recession in the UK's main export markets

[1 mark]

1 4 Frictional unemployment is best described as unemployment caused by

A a fall in aggregate demand.

B workers being temporarily between jobs.

C a permanent decline in an industry.

D seasonal variations in demand.

[1 mark]

1 5 The accelerator effect suggests that

A a rise in interest rates causes a fall in investment.

B a rise in national income leads to a more than proportional increase in investment.

C investment causes a multiplied increase in national income.

D government spending leads to a fall in private investment.

[1 mark]

1 6 Which one of the following is most likely to shift the long-run aggregate supply (LRAS) curve to the right?

A An increase in consumer confidence

B An increase in the working-age population

C A reduction in interest rates

D An increase in government borrowing

[1 mark]

1 7 If a country's nominal GDP rose by 6% and inflation was 4%, real GDP grew by approximately

A 2%

B 4%

C 6%

D 10%

[1 mark]

1 8 Which one of the following is a withdrawal from the circular flow of income?

A Government spending

B Exports

C Savings

D Investment

[1 mark]

1 9 A government raises the rate of VAT from 20% to 22.5%. The most likely short-run effect on the economy is

A a rightward shift of the AD curve.

B a leftward shift of the SRAS curve.

C an increase in real GDP.

D a fall in the price level.

[1 mark]

2 0 The primary objective of UK monetary policy is to

A maintain full employment.

B achieve a balanced budget.

C maintain price stability defined as 2% CPI inflation.

D achieve a surplus on the current account.

[1 mark]

END OF SECTION A

Section B

Answer **either** Context 1 **or** Context 2. There is a total of 50 marks for either context.

EITHER

Context 1 – Total for this context: 50 marks

UK CONSUMER CONFIDENCE AND ECONOMIC RECOVERY

Study the extracts below and then answer the questions which follow.

Extract A *UK consumer confidence and retail sales growth, 2020-2023*

The chart shows that UK consumer confidence, as measured by the GfK Consumer Confidence Index, fell sharply to -49 in September 2022 before recovering to -22 by December 2023. Retail sales volume growth (year-on-year) fluctuated, reaching a peak of 7.2% in March 2021 and falling to a low of -5.8% in September 2022. By December 2023, retail sales volume growth had partially recovered to -1.5%.

Key data points:
- Consumer Confidence Index: Dec 2020: -26; Mar 2021: -16; Sep 2022: -49; Dec 2023: -22
- Retail Sales Volume Growth (%): Dec 2020: 3.1%; Mar 2021: 7.2%; Sep 2022: -5.8%; Dec 2023: -1.5%

Extract B *UK economic recovery faces challenges*

In 2023, the UK economy showed signs of recovery from the cost-of-living crisis. Real household disposable income, which had fallen by 2.1% in 2022, grew modestly by 0.8% in 2023. However, the recovery remained fragile.

The Bank of England held Bank Rate at 5.25% for much of 2023, the highest level since 2008. This had a significant impact on households with variable-rate mortgages, with average monthly repayments rising by over £300 for many homeowners. Higher borrowing costs also affected firms' investment decisions.

Government ministers argued that fiscal restraint was necessary to bring inflation back to the 2% target. The Office for Budget Responsibility forecast that real GDP would grow by only 0.7% in 2024, well below the long-run trend rate of around 2%.

Extract C *Policy options for stimulating growth*

Economists are divided on the best policies to revive the UK economy. Some argue for expansionary fiscal policy, including tax cuts to boost household spending and government investment in infrastructure. Critics warn that this could worsen the budget deficit, which stood at 4.4% of GDP in 2023.

Others favour supply-side policies, such as investment in skills training, deregulation of planning rules, and tax incentives for business investment. These policies aim to raise long-run productive potential, but their effects are often slow to materialise.

A further consideration is the impact of policy on different income groups. Indirect taxes such as VAT and excise duties are regressive taxes, meaning they take a higher proportion of income from low-income households. Targeted welfare support may therefore be needed to protect the most vulnerable during periods of economic adjustment.

2 1 Define 'regressive taxes' (Extract C, line 11).

[3 marks]

2 2 A household with a variable-rate mortgage of £180 000 saw its annual mortgage interest rate rise from 1.8% to 5.4%.

Calculate the increase in the amount of interest paid per month to the nearest pound (£).

[4 marks]

2 3 Use Extract A to identify two significant points of comparison between consumer confidence and retail sales volume growth over the period shown.

[4 marks]

2 4 Extract B (lines 5-6) refers to higher borrowing costs affecting firms' investment decisions.

Draw an AD/AS diagram to show the likely macroeconomic effect of a fall in investment.

[4 marks]

2 5 Extract B (lines 3-4) states: 'Real household disposable income... grew modestly by 0.8% in 2023.'

Explain how rising real household disposable income may affect macroeconomic performance.

[10 marks]

2 6 Extract C (lines 1-3) refers to expansionary fiscal policy as a means of reviving the UK economy.

Use the extracts and your knowledge of economics to evaluate the view that expansionary fiscal policy is the most effective way to stimulate economic growth in the UK.

[25 marks]

OR

Context 2 – Total for this context: 50 marks

THE UK PRODUCTIVITY PUZZLE

Study the extracts below and then answer the questions which follow.

Extract D *Selected economic indicators for UK regions, 2023*

Table: Regional labour productivity (output per hour, UK=100) and unemployment rates

Region	Productivity Index	Unemployment Rate (%)
London	131.5	4.8
South East	108.2	3.4
East of England	97.6	3.7
South West	91.8	3.2
West Midlands	87.1	4.9
North West	89.5	4.3
Yorkshire and Humber	85.7	4.1
North East	86.3	5.2
Wales	83.9	3.9
Scotland	97.4	3.8
Northern Ireland	82.6	2.9
UK average	100.0	4.0

Extract E *Why is UK productivity growth so weak?*

UK labour productivity, measured as output per hour worked, has grown by an average of just 0.5% per year since the 2008 financial crisis. This compares with around 2% per year in the pre-crisis decades. The gap between UK productivity and that of leading G7 economies such as the USA, Germany and France remains substantial.

Economists have identified several causes of this 'productivity puzzle'. Underinvestment in physical capital is a major factor: UK business investment as a share of GDP has consistently lagged behind comparable economies. Weakness in research and development (R&D;) spending has hampered innovation. Furthermore, skills mismatches in the labour market mean that workers' skills do not always match employers' needs.

Regional disparities compound these problems. London and the South East have benefited from agglomeration economies and high-skilled employment, while many parts of the North and Midlands have suffered from decades of industrial decline.

Extract F *Policies to raise productivity*

The government has announced a range of measures to address the productivity gap. These include increased capital allowances to encourage business investment, expansion of apprenticeship schemes, and infrastructure projects such as HS2 and Northern Powerhouse Rail.

However, critics argue that the scale of intervention is insufficient. Total UK government spending on R&D; is around 0.5% of GDP, well below the OECD average. Vocational education in the UK has also been described as fragmented and underfunded compared with the German apprenticeship system.

The interaction between supply-side and demand-side policies matters too. Tight monetary policy, while necessary to control inflation, can deter business investment. There are also concerns about the impact of higher taxation on incentives to work and invest, and whether the government's overall fiscal stance supports or undermines long-term growth.

2 7 Define 'labour productivity' (Extract E, line 1).

[3 marks]

2 8 Use Extract D to calculate, as a percentage, the gap between the productivity index of the most productive region and the least productive region, measured relative to the least productive region.

Give your answer to the nearest whole percent (%).

[4 marks]

2 9 Use Extract D to identify two significant points of comparison between regional productivity indices and unemployment rates in selected UK regions.

[4 marks]

3 0 Extract F (lines 1-3) refers to increased capital allowances to encourage business investment.

Draw an AD/AS diagram to show the most likely long-run effect of a sustained increase in business investment on the macroeconomy.

[4 marks]

3 1 Extract E (lines 10-12) refers to skills mismatches in the UK labour market.

Explain how skills mismatches may cause unemployment in the UK economy.

[10 marks]

3 2 Extract F (lines 1-3) refers to government measures to raise productivity, including infrastructure investment.

Use the extracts and your knowledge of economics to assess the view that supply-side policies are the most effective way of reducing regional inequalities in the UK.

[25 marks]

END OF QUESTIONS